E-Commerce Customer Segmentation: Business Recommendation

Objective

Use RFM analysis to identify customer groups and recommend suitable marketing actions.

Key Results

The analysis covered 4,338 customers. Champions contributed approximately 64.6% of total revenue, while Loyal Customers contributed 16.9%. Needs Attention was the largest segment, with 1,425 customers.

Recommended Actions

1. Champions — 942 customers
Offer loyalty rewards, VIP benefits, and early access to new products to retain high-value customers.

2. Loyal Customers — 1,000 customers
Use cross-selling, product bundles, and personalized recommendations to increase purchase frequency.

3. At Risk — 661 customers
Test targeted win-back emails, limited-time offers, and reminders. Measure how many customers return.

4. Needs Attention — 1,425 customers
Run low-cost personalized re-engagement campaigns and test different offers before investing in larger promotions.

5. Recent Customers — 310 customers
Send welcome messages, product recommendations, and second-purchase incentives.

Priority

Prioritize retaining Champions while testing re-engagement campaigns for Needs Attention and At Risk customers.

Success Measures

Track repeat-purchase rate, campaign conversion rate, revenue per customer, and customer reactivation rate.

Conclusion

RFM analysis converts transaction history into actionable customer segments, helping the business plan more targeted and measurable marketing campaigns.